FRAMEWORK

Measuring the ROI of AI.

Three measures that turn AI experimentation into a number the business can stand behind.

Most organisations are running AI pilots. Very few can prove what they are getting back. The gap is rarely the technology, it is the absence of a baseline. These three measures, used together, answer the question every leader is asking: *is this actually working?*

1 Time in process, before and after.

The foundation measure. Pick a real process, time it as it runs today, redesign it with AI, then time it again. Same process, same people, same quality bar.

How. Baseline before AI is introduced, not from memory afterwards. Measure the whole process end to end, including review time, so the gain is honest.

The number. Hours saved per cycle, multiplied by how often the process runs. This is the unit everything else is built from.

2 Capacity gained.

The business translation. Time saved across processes and people rolls up into capacity: work the team can now do that it could not do before, or headcount it no longer needs to add.

How. Aggregate verified time savings across the team and convert to full-time equivalents. Then show where that capacity went: new projects, faster delivery, reduced backlog, or avoided hires.

The number. FTE equivalent and its dollar value. This is the number leadership banks, and the one that survives scrutiny in a budget conversation.

3 Usage.

The leading indicator. Value only appears where AI is actually being used, so usage tells you where value is coming next, and where adoption support is needed.

How. Track active users, frequency, and which workflows AI is embedded in. Watch the spread: a few power users means enablement is not landing; broad steady use means the gains will follow.

The number. Percentage of the team using AI weekly in real work. Usage is not value on its own, but no usage guarantees no value.

HOW THE THREE FIT TOGETHER

Usage tells you adoption is happening. Time tells you where the value is. Capacity is what the business banks. Measured together, they took one 34-person team from minimal AI usage to a verified return equivalent to 8 full-time staff in 12 months.

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